Points to remember

- Profits and losses are shared among the partners of a firm in the profit sharing ratio. In the absence of agreed ratio, the profits and losses are to be shared by the partners equally.
- In the absence of agreement, no interest is allowed on capital, no interest is charged on drawings and no salary or other remuneration is given to the partners.
- Partners are entitled to interest on the loans advanced by them to the firm at a rate agreed by them. If the rate of interest on partners' loan is not agreed, the partners are entitled to interest on loans at 6% per annum.
- When fixed capital method is adopted by a firm, current accounts are opened for each partner apart from the capital account of each partner.
- When fluctuating capital method is followed, all the adjustments regarding additional capital introduced, share of profit, interest on capital, interest on drawings, etc. are done in the capital account.
- In Profit and loss appropriation account, adjustments are made for interest on capital, interest on drawings and partners' remuneration, the resultant profit is shared by the partners in their profit sharing ratio.

Self–examination questions

I Multiple choice questions

Choose the correct answer

1. In the absence of a partnership deed, profits of the firm will be shared by the partners in
(a) Equal ratio (b) Capital ratio
(c) Both (a) and (b) (d) None of these

2. In the absence of an agreement among the partners, interest on capital is
(a) Not allowed (b) Allowed at bank rate
(c) Allowed @ 5% per annum (d) Allowed @ 6% per annum

3. As per the Indian Partnership Act, 1932, the rate of interest allowed on loans advanced by partners is
(a) 8% per annum (b) 12% per annum
(c) 5% per annum (d) 6% per annum

4. Which of the following is shown in Profit and loss appropriation account?
(a) Office expenses (b) Salary of staff
(c) Partners' salary (d) Interest on bank loan

5. When fixed capital method is adopted by a partnership firm, which of the following items will appear in capital account?
(a) Additional capital introduced (b) Interest on capital
(c) Interest on drawings (d) Share of profit

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